

DELHIVERY LIMITED

NSE: DELHIVERY | LOGISTICS | STOCK PITCH

BUY RECOMMENDATION	₹458 CURRENT PRICE	₹580 PRICE TARGET
26.8% UPSIDE	18 months TIME HORIZON	SEPTEMBER 2026 DATE
₹34,497 Cr MARKET CAP	₹35,716 Cr ENTERPRISE VALUE	₹524 / ₹374 52W HIGH / LOW

COMPANY SNAPSHOT

Delhivery is India's largest third-party logistics provider offering express parcel delivery, PTL/TL freight, warehousing, supply chain solutions, cross-border logistics and supply chain software. Listed in May 2022 on NSE; commands 45-50% of India's 3PL ecommerce express parcel market with 97% pin code coverage and 1 billion+ annual shipments. FY26 revenue: ₹10,508 Cr | PAT: ₹153 Cr.

INVESTMENT THESIS

01	Unit Economics Inflecting Despite Pricing Pressure EBITDA / shipment: -₹0.39 → ₹9.07 - Revenue / shipment declined 16% from ₹69.1 to ₹58.0. - Costs fell faster than revenue, demonstrating operating leverage from the fixed-cost network. - FY27E PAT projected at ₹524 Cr versus ₹153 Cr in FY26.
02	Market Leadership + Customer Diversification Moat 45–50% 3PL ecommerce express share - Market share increased from ~20% at IPO. - Thousands of brands reduce customer-concentration risk. - Competitor concentration remains a relevant industry risk.
03	India Ecommerce Structural Tailwind Express logistics market: 12–15% CAGR - FY26 volume growth of 40% YoY outpaced the stated market growth range. - Organized logistics penetration is rising, supporting formalisation.

KEY CATALYSTS

Service EBITDA ~15% in Q1 FY27; management target 16-18% for FY27. Each 1 pp improvement adds ~105 Cr to adj. EBITDA at current revenue levels.	Corporate Overhead ~10pp gap between service EBITDA and adj. EBITDA reflects ₹1,049 Cr of business development investment; scaling revenue can improve operating leverage.
Revenue / Shipment Stabilisation at ₹58+ would improve EBITDA / shipment without requiring additional volume growth.	Competitive Consolidation Competitor concentration and any further Valmo expansion could alter market structure.

NUMBERS & VALUATION

FINANCIAL SUMMARY

	FY26A	FY27E	FY28E	FY29E
Revenue (₹ Cr)	10,508	13,135	15,762	18,599
Revenue Growth %	17.6%	25.0%	20.0%	18.0%
EBITDA (₹ Cr)	640	1,182	1,655	2,139
EBITDA Margin %	6.1%	9.0%	10.5%	11.5%
PAT (₹ Cr)	154	524	876	1,173
EPS (₹)	2.04	6.95	11.62	15.57
FCF (₹ Cr)	506	481	833	1,104

TRADING MULTIPLES

	Current	FY27E	FY28E
P/E	224x	66x	39x
EV / EBITDA	56x	30x	22x
Price / FCF	68x	72x	41x

PRICE TARGET FRAMEWORK

Scenario	Weight	FY28E P/E	FY28E EPS	Target Price
Bear Case	25%	35x	₹6.43	₹225
Base Case	50%	45x	₹11.62	₹523
Bull Case	25%	55x	₹19.11	₹1051
Scenario-Weighted Target	100%	—	—	₹580

Primary methodology: Forward P/E on FY28E earnings. The price target is derived using a probability-weighted Bear/Base/Bull framework with 25%/50%/25% scenario weights.

DCF cross-check: ₹147 base-case value using 13% WACC and 4% terminal growth; the pitch notes a 10.4% market-implied terminal growth rate. The P/E framework is presented as the primary valuation method for profitability-inflection case.

COMPARABLE COMPANIES

Company	P/E	Fwd P/E	EV / EBITDA	Revenue Growth
Bluedart	47x	43x	13x	7.4%
Shadowfax	128x	78x	67x	65.4%
TCI Express	22x	22x	15x	2.3%
Delhivery	224x	66x	56x	17.6%

- Delhivery at 66x FY28E P/E versus Bluedart at 43x.
- Shadowfax trades at 78× forward P/E in the source table; customer concentration is identified as a risk.

RISKS, MONITORABLES & UNIT ECONOMICS

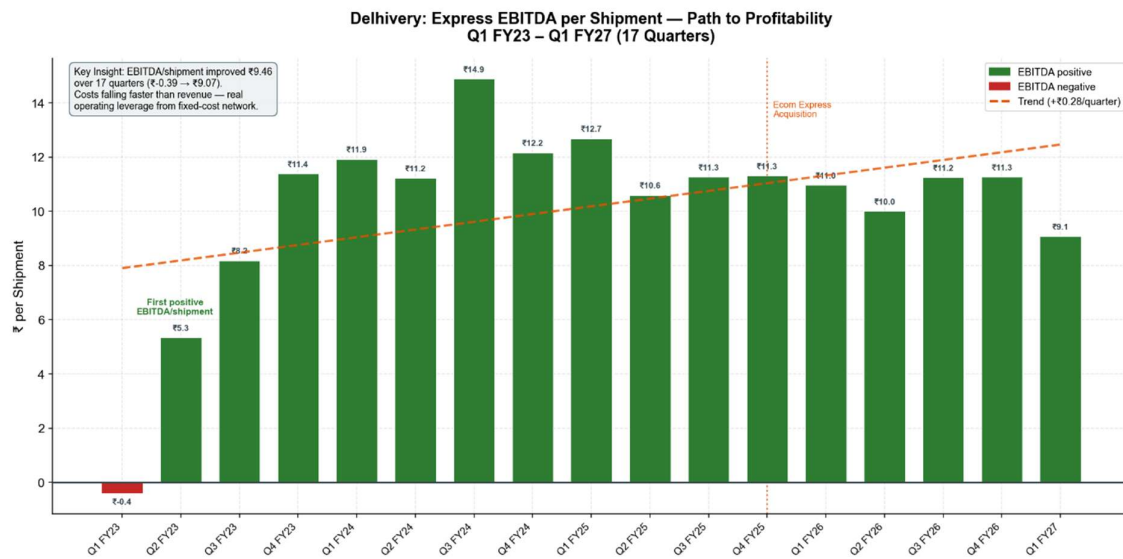
BEAR CASE / KEY RISKS

Risk	What could go wrong	Source Implication
Competitive pressure	Shadowfax gains share; pricing pressure intensifies.	Bear case: ₹225 (-51% downside).
Corporate overhead	Overhead remains above 10% of revenue	FY27E PAT below ₹300 Cr; forward P/E above 115x.
Revenue / shipment	Falls below ₹55	EBITDA / shipment compresses; threatens 16-18% service EBITDA target.

KEY MONITORABLES

Metric	Bull Signal	Bear Signal
Service EBITDA Margin	>= 16% in Q2 FY27	<16% for 2 quarters
Corporate Overhead %	Declining toward 9%	Rising above 10%
Revenue / Shipment	Stabilising at ₹58+	Falling below ₹55
Shadowfax Market Share	Plateaus below 22%	Rises above 25%
Volume Growth YoY	>25%	<15%

UNIT ECONOMICS – PATH TO PROFITABILITY



+₹9.46 EBITDA / SHIPMENT IMPROVEMENT	-16% REVENUE / SHIPMENT CHANGE	+₹0.28 AVG. QUARTERLY TREND
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- EBITDA per shipment improved from -₹0.39 to ₹9.07 over 17 quarters despite a 16% decline in revenue per shipment.
- Q1 FY27 dip to ₹9.07 is attributed in the source pitch to fuel and wage pressures; management confirmed external factors.
- Trend-line slope: +₹0.28 per quarter average improvement.

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